Type MS · Globalisation: what it means and what drives it

Answer 1 of 10 · Question 2 part f · 3 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br>The only correct answer is:<br>**B** Higher exports<br><br>A is not correct because this is likely to increase inflation<br>C is not correct because this is likely to create employment<br>D is not correct because this is decided by the government | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Relative poverty<br><br>A is not correct because this is not having the means to survive<br>B is not correct because this describes the range of incomes in an economy<br>D is not correct because this refers to the disincentive effect of benefit payments | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** correct effect<br><br>• Lower demand for imports<br>• Improved balance of payments<br>• Higher demand for exports<br>• Reduced deficit<br>• Improved surplus<br><br>Accept any other appropriate responses | **(1)** |

Type MS · Globalisation: what it means and what drives it

Answer 1 of 10 · Question 2 part f · 3 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the components of fiscal policy and 1 mark for reference to (aggregate) demand<br><br>Decisions about government spending, taxation and borrowing **(1)** that affect (aggregate) demand in the economy **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• One impact is that business confidence is likely to fall **(1)**. High rates of unemployment of 44% may make businesses more cautious **(1)**. This is because there will be fewer people able to purchase goods/services from firms **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 1 of 10 · Question 2 part f · 3 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a possible reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is that more goods are able to be transported at the same time **(1)**. This reduces the cost of trading between countries **(1)**. This means increased trade which leads to globalisation **(1)**<br><br>• One reason is that goods can be cheaply transported long distances **(1)** resulting in more firms being able to source products from low-cost countries **(1)**. This increased trade between countries leads to more globalisation **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 1 of 10 · Question 2 part f · 3 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Healthcare provides medicines and medical treatments to increase the overall health of the nation<br>• The external benefit of providing healthcare to an individual often exceeds the private benefit<br>• Free access to healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in England<br>• This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy<br>• Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity<br>• This could result in economic growth and therefore help to reduce poverty and inequality in England<br>• Healthcare also provides many jobs for healthcare workers including nurses, doctors and by building new hospitals<br><br>**AO4**<br>• However, providing free healthcare cost the tax payer £134bn in 2020<br>• There is an opportunity cost of spending so much money on healthcare which could be spent on other poverty reduction methods<br>• Having a healthcare system which is free means that there is often an excess demand for healthcare, leading to the NHS being constantly overstretched<br>• This results in shortages of hospital beds and may not reduce poverty and inequality<br>• There are other methods that might be more effective in reducing poverty and inequality, such as education or progressive taxation<br>• There should be a combination of methods used to reduce poverty and inequality in England |

## Type MS · Globalisation: what it means and what drives it

### Answer 1 of 10 · Question 2 part f · 3 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Globalisation: what it means and what drives it

### Answer 1 of 10 · Question 2 part f · 3 marks

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| Question Number | **Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| 1(a) | **AO1 1 marks**<br><br>**D** globalisation | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(b) | **AO1 1 mark**<br><br>**C** People changing jobs | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(c) | **AO1 2 marks**<br><br>Award 1 mark for reference to cost of borrowing and 1 mark for reference to reward for lending.<br><br>The cost of borrowing **(1)** and the reward for lending/saving **(1)**<br><br>**OR**<br><br>The cost of borrowing/the reward for lending/saving money **(1)**<br>An interest rate is normally expressed as a % of the total borrowed/lent/saved **(1)** | **(2)** |

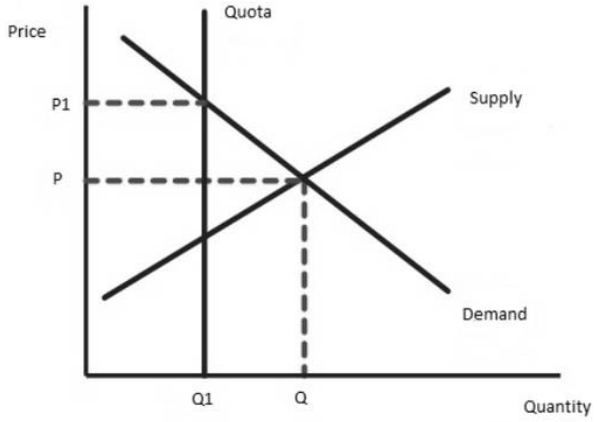
| Question Number | Answer | Mark |
|---|---|---|
| 1(d) | **AO1 2 marks**<br><br>Award 1 mark for reference to the impact and 1 mark for development of the impact.<br><br>The cost of borrowing has become cheaper **(1)** therefore more consumers take out loans to buy products **(1)** | **(2)** |

Type MS · Globalisation: what it means and what drives it

Answer 2 of 10 · Question 1 part a · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation.<br><br>Award 1 mark for the correct answer.<br><br>1000/137.73 **(1)** = £7.26 **(1)**<br><br>Award 2 marks if the correct answer is shown, with sterling symbol, even if no calculations are shown.<br><br>Do not award marks for the formula | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for perfectly inelastic supply curve, labelled.<br>Award 1 mark for higher equilibrium price, labelled.<br>Award 1 mark for lower equilibrium quantity, labelled.<br><br>  <br> | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 2 of 10 · Question 1 part a · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant way.<br>Award 1 mark for developing the way.<br>Award 1 mark for the response being in context.<br><br>• One way is by the WTO hosting discussions/trade negotiations **(1)** in which countries such as the US and Canada agree to reductions in tariffs/quotas **(1)** which should result in greater free trade between countries **(1)**<br><br>• One way is by the WTO having a set of rules **(1)** These aim to ensure that countries do not introduce tariffs/quotas such as the 300% tariff on aircraft **(1)** which would restrict free trade between countries **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 2 of 10 · Question 1 part a · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 1(h) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Fiscal policy (expansionary) is when the government increases government expenditure and/or reduces taxation<br>• Increased government expenditure could be in the form of new infrastructure projects such as transport links or employing more public sector workers such as teachers<br>• This should increase overall demand within the Australian economy<br>• This results in firms raising output and having to employ more workers<br>• Incomes will also rise resulting in further output and employment growth within the Australian economy<br>• Unemployment should therefore be reduced in the Australian economy | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Globalisation: what it means and what drives it

### Answer 2 of 10 · Question 1 part a · 1 mark

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| Question Number | Answer | Mark |
|---|---|---|

Type MS · Globalisation: what it means and what drives it

Answer 3 of 10 · Question 1 part h · 6 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part h in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>**B** unemployment | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>**C** Subsidies | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to value of goods/services and 1 mark to time period<br><br>GDP is the market value of all goods and services **(1)** produced in a year **(1)**<br><br>Accept any other appropriate response | **(2)** |

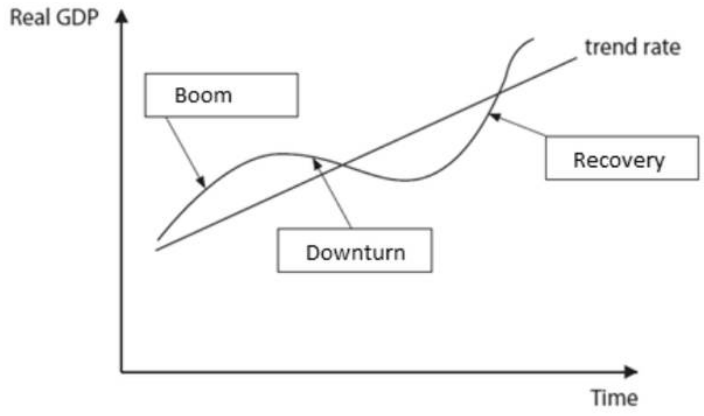
| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the positive impact and 1 mark for development of the positive impact<br><br>An improvement in standards of living **(1)** due to more income from jobs **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Globalisation: what it means and what drives it

Answer 3 of 10 · Question 1 part h · 6 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part h in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>$\frac{130.3 - 120.4}{120.4} \times 100$ **(1)**<br><br>Award 1 mark for the correct answer<br><br>= 8.22% **(1)**<br><br>Award 2 marks if the correct answer 8.22% is shown, with percentage sign, even if no calculation is shown<br><br>Award 1 mark if correct answer is shown 8.22, but with no percentage sign, even if no calculation is shown<br><br>Do not award marks for the formula | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for boom, labelled<br>Award 1 mark for downturn, labelled<br>Award 1 mark for recovery, labelled<br><br>  <br><br>**Figure 1** | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 3 of 10 · Question 1 part h · 6 marks

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| Question Number | **Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is due to generous welfare benefits **(1)**. If a teacher is able to have a good standard of living on welfare benefits **(1)** then there is a disincentive to work at the current wage rates being offered in the education sector **(1)**<br><br>• One reason is due to high rates of income tax **(1)**. If a person has to give a large proportion of earned income to the government **(1)** then there is less of an incentive to be employed as a teacher **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 3 of 10 · Question 1 part h · 6 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part h in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 1(h) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Firms need to transport goods and services around the world and often use large container ships or air to transport goods long distances<br>• Larger cargo ships have resulted in a reduction in the cost of transporting goods by up to 70% on ships as more goods are able to be transported at the same time<br>• This reduces the cost of fuel and economies of scale can be achieved by operating on a larger scale<br>• Transport improvements in aviation also mean that goods and people can travel more quickly between different countries<br>• This has enabled firms to react quickly to consumers around the world<br>• Firms are able to provide perishable goods such as food more easily to a wider geographical area<br>• All these factors have contributed to the increase in globalisation | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–2** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| Level 2 | **3–4** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| Level 3 | **5–6** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Globalisation: what it means and what drives it

Answer 3 of 10 · Question 1 part h · 6 marks

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| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Globalisation: what it means and what drives it

Answer 4 of 10 · Question 2 part f · 3 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** A decrease in exports and an increase in imports<br><br>A is not correct because an appreciation would result in a decrease in exports and an increase in imports<br><br>B is not correct because an appreciation would result in a decrease in exports and an increase in imports<br><br>C is not correct because an appreciation would result in a decrease in exports and an increase in imports | **(1)** |

| Question Number | Which **one** of the following is likely to result in poverty?<br>Answer | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Low GDP per capita<br><br>A is not correct because this can result in people gaining jobs and therefore income<br><br>C is not correct because economic agents would retain more of their income<br><br>D is not correct because more people are in paid employment | **(1)** |

Type MS · Globalisation: what it means and what drives it

Answer 4 of 10 · Question 2 part f · 3 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | State **one** effect on the balance of payments of improved quality of foreign goods.<br>Answer | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** correct effect<br><br>• Higher imports<br>• Worsened balance of payments<br>• Lower exports<br>• Increased deficit<br>• Worsened surplus<br><br>Accept any other appropriate response | **(1)** |

| Question Number | What is meant by the term free trade?<br>Answer | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the import/export of goods and 1 mark for reference to not being taxed<br><br>Goods/services coming into or going out of a country **(1)** which are not controlled/taxed **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.<br>Answer | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being context<br><br>• One impact is that consumer confidence is likely to fall **(1)**. High rates of unemployment of 10.1% may make consumers more cautious **(1)**. This can cause lower levels of consumer spending **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 4 of 10 · Question 2 part f · 3 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | Explain **one** reason why the reduced cost of communication has helped to increase globalisation.<br>Answer | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a possible reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is the internet makes it cheaper to communicate with other overseas markets **(1)**. Many small firms are able to use e-commerce marketplaces such as Alibaba **(1)**. This allows firms of all sizes to sell to a wider geographical area/trade globally **(1)**<br><br>• One reason is that you do not need face to face meetings **(1)**. The internet allows for communication via videoconferencing/online meetings **(1)**. These improvements in communication links mean it is easier for international businesses to interact **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 4 of 10 · Question 2 part f · 3 marks

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| Question Number | With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany. Indicative content |
|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Taxation can be imposed on activities that damage the environment<br>• Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service<br>• Increasing taxation from 7% to 19% would substantially increase the price of meat for consumers which may result in less demand for meat products<br>• This would reduce the amount of greenhouse gas emissions caused by animals<br>• Increased taxation could also raise additional revenue for the German Government<br>• This could be used to finance other pollution reduction schemes or improve animal welfare<br>• Taxation provides a market incentive for firms and consumers to switch to meat alternatives which may not cause as much environmental damage<br><br>**AO4**<br><br>• However, increasing taxes on meat may reduce incomes for farmers if demand falls for meat products<br>• Increasing taxes on meat products may reduce the choice for consumers of what food they can afford, particularly low-income families<br>• Demand for meat may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of pollution<br>• There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits<br>• The German Government should use a combination of methods to protect the environment |

Type MS · Globalisation: what it means and what drives it

Answer 4 of 10 · Question 2 part f · 3 marks

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| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Globalisation: what it means and what drives it

### Answer 4 of 10 · Question 2 part f · 3 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

| Question Number | What is the total amount of revenue raised by indirect taxes?<br>Answer | Mark |
|---|---|---|

Type MS · Globalisation: what it means and what drives it

Answer 5 of 10 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** integration and interdependence of national economies<br><br>A is not correct because globalisation encourages trade and specialisation<br>B is not correct because trade barriers should be reduced<br>C is not correct because increased globalisation reduces the need for national legislation | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** An increase in environmental damage<br><br>A is not correct because unemployment should fall due to more jobs being available in the economy<br>C is not correct because investment is likely to increase due to economic growth and firms expanding<br>D is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit | **(1)** |

| Question Number | State one type of unemployment.<br>**Answer** | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** type.<br><br>• cyclical<br>• structural<br>• seasonal<br>• voluntary<br>• frictional<br><br>Accept any other appropriate responses. | **(1)** |

Type MS · Globalisation: what it means and what drives it

Answer 5 of 10 · Question 2 part a · 1 mark

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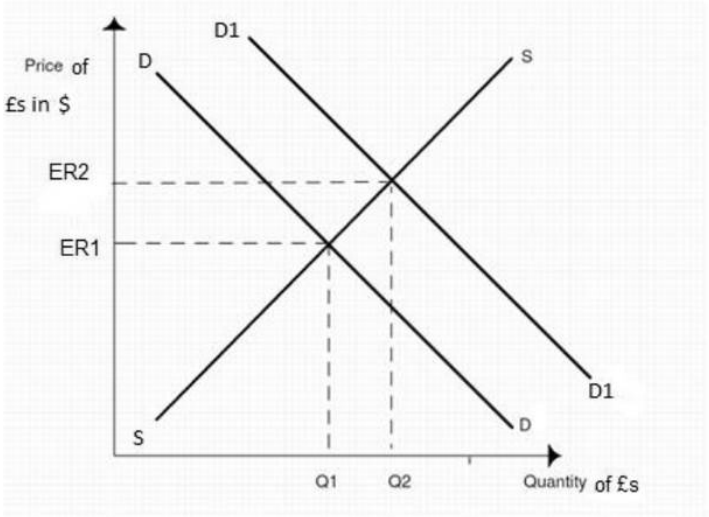
| Question Number | What is meant by the term recovery? **Answer** | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the economic cycle/recession and 1 mark for reference to increase in economic activity<br><br>A phase in the economic cycle **(1)** where GDP starts to rise again/when consumers start to regain confidence/economic activity is on the increase **(1)**<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | Explain one impact of rising inflation on shoe leather costs for Nigeria. **Answer** | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• One impact is that shoe leather costs may increase **(1).** Consumers will try to find cheaper bread and meat **(1).** This means that they will spend more time shopping around and looking for goods **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 5 of 10 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Draw the effects on the exchange rate of the UK pound (£) from an increase in exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for right shift of demand curve, labelled<br>Award 1 mark for higher equilibrium exchange rate, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 5 of 10 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Question Number | Assess the advantages of free trade to firms located within the EU. **Indicative content** | Mark |
|---|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed<br>• The new free trade area consists of over 770 million people and trades over €88bn in goods and €34bn in services every year<br>• Firms located within the EU would be able to access a much wider market for its goods and services thereby increasing sales<br>• Mercosur is removing tariffs on 91% of EU goods on items such as clothing, wine, chemicals and canned peaches<br>• This means that any EU firm operating in these areas will be able to export to the Mercosur area without additional tariffs and could increase revenues<br>• Expansion into a new trading bloc could help to reduce risk for EU firms if demand falls within the EU<br><br>**AO4**<br>• However, free trade also means that EU firms will face greater competition from firms within the Mercosur area<br>• EU firms may have increased competition from cheaper, low-cost firms within the Mercosur area that may have lower wage costs compared to EU firms<br>• The EU has agreed to end 92% of tariffs on goods from the Mercosur area<br>• This may have a negative impact on EU farmers particularly those involved in the production of beef, sugar and chicken<br>• The overall impact will depend on the quality and price of the products made within the EU compared to the products made in the Mercosur area | **(9)** |

Type MS · Globalisation: what it means and what drives it

Answer 5 of 10 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Globalisation: what it means and what drives it

Answer 6 of 10 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**B** GDP starts to rise and economic activity is on the increase<br><br>A is not correct because this describes a boom<br>C is not correct because this describes a downturn<br>D is not correct because this describes a recession | **(1)** |

| Question Number | Which **one** of the following is an example of frictional unemployment?<br>Answer | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Workers are unemployed whilst waiting to start a new job<br><br>A is not correct because this is an example of cyclical unemployment<br>C is not correct because this is an example of seasonal unemployment<br>D is not correct because this is an example of structural unemployment | **(1)** |

| Question Number | What is meant by the term exports?<br>Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to goods and 1 mark for reference to being sent to another country<br><br>The sale of goods or services **(1)** to another country **(1)**<br><br>Accept any other appropriate response. | **(2)** |

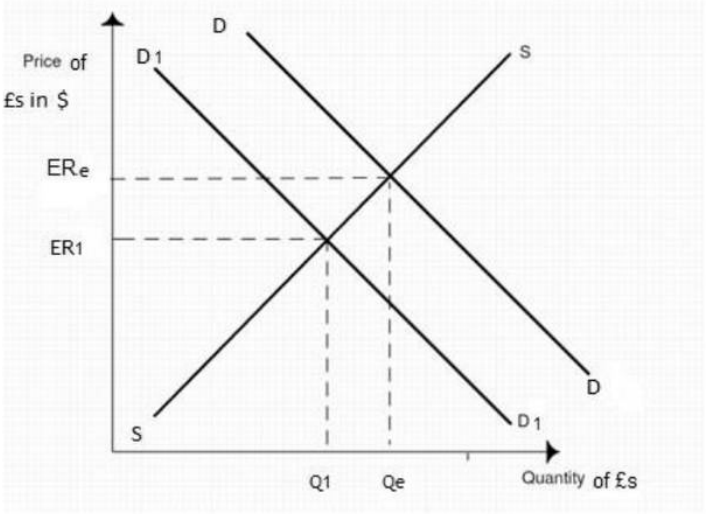
Type MS · Globalisation: what it means and what drives it

Answer 6 of 10 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

| Question Number | What is meant by the term globalisation?<br>Answer | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to interconnection and 1 mark for reference to world's economies<br><br>Growing interconnection **(1)** of the world's economies **(1)**<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | Calculate how much the **average price level** increased between 2018 and 2021. You are advised to show your working.<br>Answer | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>105.4 - 100 **(1)**<br><br>Award 1 mark for the correct answer<br><br>= 5.4% **(1)**<br><br>Award 2 marks if the correct answer 5.4% is shown, with percentage sign, even if no calculations are shown<br><br>Award 1 mark if the answer given is 5.4, but with no percentage sign, with or without calculations shown<br><br>Do not award marks for the formula. | **(2)** |

| Question Number | Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.<br>Answer | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of demand curve, labelled<br>Award 1 mark for lower equilibrium exchange rate, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

| Question Number | Explain one effect of rising inflation on menu costs in the UK.<br>Answer | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant effect<br>Award 1 mark for developing the effect<br>Award 1 mark for the response being in context<br><br>• One effect is that menu costs may increase **(1).** When inflation is high, prices need changing frequently **(1).** Firms have to spend money to print new brochures/update websites with the higher prices **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 6 of 10 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

| Question Number | Analyse the possible benefits for Columbia of having import quotas.<br>Indicative content | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Quotas are physical limits on the quantity of imports allowed into a country<br>• Quotas on rice might help to protect domestic rice farmers<br>• By restricting the amount of rice imported into Columbia domestic rice farmers may gain more market share<br>• This could result in higher revenues for domestic rice farmers<br>• Rice is a staple food in Columbia therefore is of national importance<br>• Therefore, domestic rice farmers might be able to increase the supply of rice to meet any shortages if imports are restricted by quotas | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Globalisation: what it means and what drives it

### Answer 6 of 10 · Question 1 part d · 2 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

| Question Number | Fiscal policy would involve a change in which **one** of the following?<br>Answer | Mark |
|---|---|---|

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** To increase the demand for its exports<br><br>B is not correct because devaluation aims to increase not decrease the demand for exports<br>C is not correct because devaluation aims to make exports cheaper rather than affect the price of imports<br>D is not correct because devaluation can make a country's assets and investments cheaper in foreign currency terms, which can attract foreign investors | **(1)** |

| Question Number | Which **one** of the following is the most likely reason for increased globalisation?<br>**Answer** | Mark |
|---|---|---|
| **2(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** An increase in the significance of MNCs<br><br>A is not correct because this would reduce trade<br>B is not correct because this would make trade more expensive and less likely<br>D is not correct because this would result in less globalisation | **(1)** |

| Question Number | State **one** possible macroeconomic objective for a government.<br>**Answer** | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** macroeconomic objective.<br><br>• Economic growth<br>• Low and stable inflation<br>• Low unemployment<br>• Surplus or balance on the current account of the balance of payments<br>• Protection of the environment<br>• Redistribution of income<br><br>Accept any other appropriate response | **(1)** |

Type MS · Globalisation: what it means and what drives it

Answer 7 of 10 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

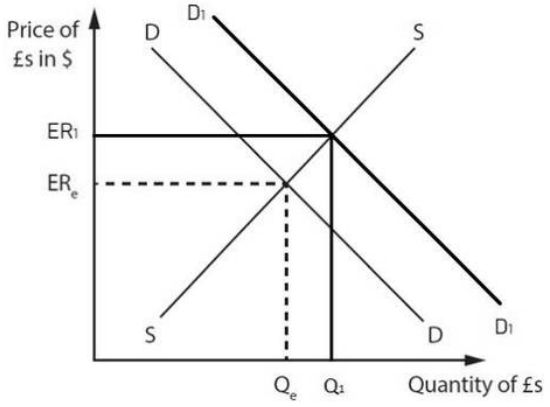
| Question Number | What is meant by the term seasonal unemployment?<br>**Answer** | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>When workers are only required for certain times of the year **(1)** and unemployed for the rest of the year **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Explain **one** reason rapid economic growth may be harmful for an economy such as Vietnam.<br>**Answer** | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is because it may cause damage to the environment **(1).** The increased production of goods and services can cause pollution **(1)** which may result in increased government expenditure to reduce the problem **(1)**<br><br>• One reason is higher inflation **(1).** Rapid growth of 8.02% may result in the economy overheating **(1).** This could result in lower standards of living for people in Vietnam due to less purchasing power **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 7 of 10 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

| Question Number | Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for rightward shift of demand, labelled<br>Award 1 mark for higher equilibrium exchange rate, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 7 of 10 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK.<br>**Indicative content** | Mark |
|---|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Business tax is a direct tax on the profit of a firm<br>• Business tax rates in the UK have increased from 19% to 25% in April 2023<br>• Increasing business tax rates by such a large percent (6%) may result in less tax revenue for the UK Government if firms do not locate in the UK or if UK firms relocate to the US<br>• The US has a much lower tax rate of 21% in comparison to the UK which could be very attractive to MNCs<br>• Firms such as Associated British Foods will have to pay £20m more in taxation<br>• This could result in the firm having less to invest in the UK economy<br>• This is likely to result in a negative impact on GDP and employment if many firms have less profit to invest and expand in the UK<br><br>**AO4**<br><br>• However, increases in business tax rates can help provide the UK Government with an additional £18bn in tax revenue<br>• This could be used by the UK Government to invest into public services for the UK population which might offset any reductions in investment by the private sector<br>• The UK's tax rate of 25% is comparable to China and France and is still significantly lower than Germany's 30% tax rate<br>• This could mean that the impact of the higher rates of business tax is minimal<br>• The level of investment is affected by a range of factors, such as business confidence and not just the rate of business taxes in a country | **(9)** |

Type MS · Globalisation: what it means and what drives it

Answer 7 of 10 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Globalisation: what it means and what drives it

### Answer 7 of 10 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

| Question Number | How many UK pounds (£) can be bought with $50 if the exchange rate is $1=0.75?<br>**Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** For basic needs to be met<br><br>A is not correct because it is not a legal requirement for a government to do this<br>B is not correct because this will increase inequality<br>D is not correct because this will increase poverty | **(1)** |

| Question Number | Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** It is easy to compare economic growth between countries<br><br>A is not correct because it does not measure how economic growth is distributed amongst the population<br>B is not correct because it does not take into account all economic activity<br>C is not correct because it does not take into account inflation | **(1)** |

| Question Number | What is meant by the term deflation?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 2 marks for a correct definition<br><br>A reduction **(1)** in the general level of prices for goods and services **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Globalisation: what it means and what drives it

Answer 8 of 10 · Question 1 part d · 2 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

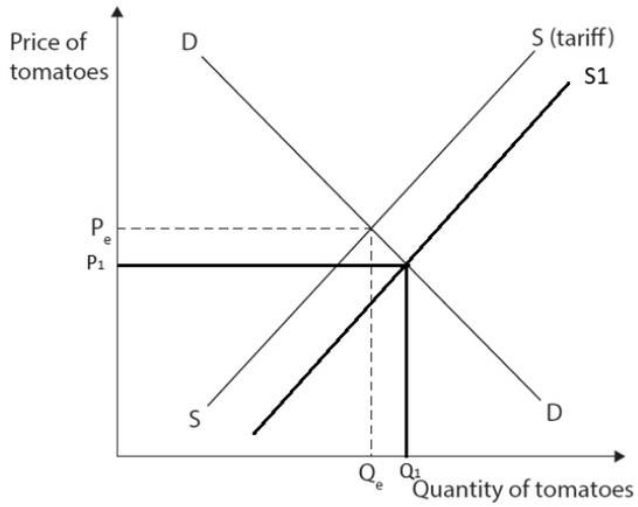
| Question Number | Describe the impact of a reduction in the cost of communication on globalisation. **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the impact and 1 mark for the development of the impact<br><br>One impact is an increase in globalisation **(1)** because firms can communicate/trade with each other more easily **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working. **Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for export of services – import of services<br><br>$26bn - $16bn **(1)**<br><br>Award 1 mark for the correct answer<br><br>= $10bn **(1)**<br><br>Award 2 marks if the correct answer is $10bn even if no calculations are shown<br><br>Award 1 mark if the answer given is 10 even if no calculations are shown<br><br>Do not award marks for the formula. | **(2)** |

Type MS · Globalisation: what it means and what drives it

Answer 8 of 10 · Question 1 part d · 2 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a rightward shift of the supply curve, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a higher equilibrium quantity, labelled<br><br>  <br><br>**Figure 2** | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 8 of 10 · Question 1 part d · 2 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

| Question Number | Explain **one** reason why governments use fines.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is that it can deter individuals/firms from breaking the law **(1).** Very high fines of $1m will negatively affect the individuals/firms **(1)** this is likely to encourage individuals/firms to make sure they follow the law so people do not get injured **(1)**<br><br>• One reason is that it can raise revenue for the government **(1).** Fines imposed on firms that break laws can be very high **(1)** and can give the government money to spend on compensating people affected by laws being broken **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Higher energy costs of 157.2% can raise production and transportation costs resulting in an increase in raw material prices and overall costs of production<br>• Higher production costs can lead to lower profits for firms in Türkiye<br>• This is because firms may not be able to pass on the full cost of inflation to consumers in the form of higher prices reducing business confidence<br>• When costs rise faster than firms can adjust their prices, profit margins get squeezed reducing business confidence<br>• Firms may struggle to plan for the future. This is because they are not sure what energy prices will be like in the future causing uncertainty<br>• This uncertainty can erode business confidence as firms are unsure about the future success of their operations | **(6)** |

## Type MS · Globalisation: what it means and what drives it

### Answer 8 of 10 · Question 1 part d · 2 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Globalisation: what it means and what drives it

Answer 8 of 10 · Question 1 part d · 2 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

| Question Number | Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?<br>**Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Lower transportation costs<br><br>A is not correct because increasing these barriers would likely decrease globalisation by limiting international trade<br>C is not correct because it is the increased significance of multinational corporations that contributes to globalisation<br>D is not correct because this would make trade more expensive and less likely to occur | **(1)** |

| Question Number | What is likely to happen if a government successfully reduces unemployment?<br><br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Inflation might rise as more people have money to spend<br><br>B is not correct because employment growth is associated with higher output and economic growth<br>C is not correct because more people have jobs and therefore more money to spend<br>D is not correct because government spending on benefits would decrease as more people are now employed | **(1)** |

| Question Number | What is meant by the term trading bloc?<br><br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 2 marks for a correct definition<br><br>A trading bloc is a group of countries that join together **(1)** to reduce/eliminate trade barriers between themselves **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Globalisation: what it means and what drives it

Answer 9 of 10 · Question 1 part a · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

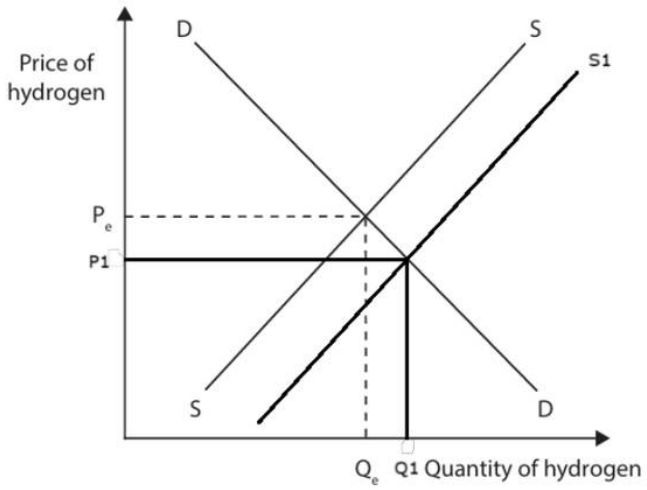
| Question Number | Describe **one** impact on consumers of an increase in interest rates.<br><br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the impact and 1 mark for the development of the impact<br><br>One impact is that the cost of borrowing becomes more expensive **(1)** therefore fewer consumers take out loans to buy products **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for export of goods – import of goods<br><br>€150bn - €120bn **(1)**<br><br>Award 1 mark for the correct answer<br><br>= €30bn **(1)**<br><br>Award 2 marks if the correct answer is €30bn even if no calculations are shown<br><br>Award 1 mark if the answer given is 30bn even if no calculations are shown<br><br>Do not award marks for the formula. | **(2)** |

Type MS · Globalisation: what it means and what drives it

Answer 9 of 10 · Question 1 part a · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br><br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a rightward shift of the supply curve, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Globalisation: what it means and what drives it

Answer 9 of 10 · Question 1 part a · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

| Question Number | Explain **one** possible benefit of a fiscal surplus for a country such as Portugal.<br><br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant benefit<br>Award 1 mark for developing the benefit<br>Award 1 mark for the response being in context<br><br>• One benefit is that Portugal can spend more money on public services **(1).** Investing more in these sectors can lead to better schools and hospitals **(1)** therefore improving the quality of life for its citizens. **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Firms might start hiring more people because they need more workers to meet the demand for their products or services reducing unemployment levels in Greece<br>• Economic recovery often encourages entrepreneurs to start new businesses<br>• These new firms will need employees, creating more jobs and increasing overall employment levels in Greece<br>• When the economy is doing well, both firms and consumers feel more confident<br>• Firms are more likely to invest in new projects or expand, needing more workers<br>• Consumers spend more which can lead to more jobs in retail, services and other sectors | **(6)** |

## Type MS · Globalisation: what it means and what drives it

### Answer 9 of 10 · Question 1 part a · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Globalisation: what it means and what drives it

### Answer 9 of 10 · Question 1 part a · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

| Question Number | Which **one** of the following is a government policy that changes the rate of interest?<br><br>**Answer** | Mark |
|---|---|---|

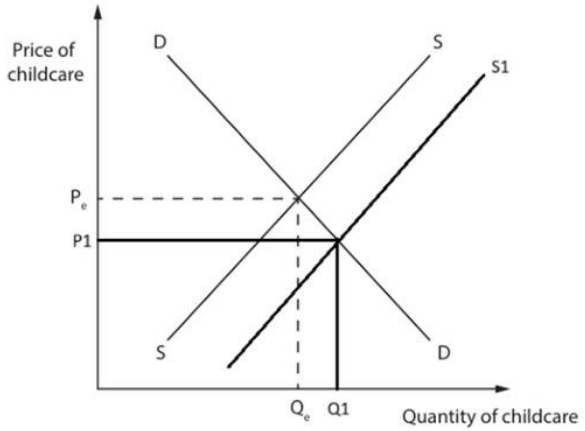
| | | |
|---|---|---|
| 3(a) | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** The cost to consumers of looking for the lowest price of mobile phones<br><br>A is not correct because this describes menu costs<br>B is not correct because this is a cost of production<br>C is not correct because this is a cost of shopping online | **(1)** |

| **Question Number** | Calculate the trade balance between the UK and Spain in 2023.<br><br>**Answer** | **Mark** |
|---|---|---|
| 3(b) | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** A trade deficit of £24.3bn<br><br>A is not correct because this is imports – exports<br>B is not correct because this is exports + imports and assumes a surplus<br>D is not correct because this is exports + imports and assumes a deficit | **(1)** |

Type MS · Globalisation: what it means and what drives it

Answer 10 of 10 · Question 3 part d · 6 marks

2025 NOV · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.<br><br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for a rightward shift of supply, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a higher equilibrium quantity, labelled<br><br>  <br> | (3) |

Type MS · Globalisation: what it means and what drives it

Answer 10 of 10 · Question 3 part d · 6 marks

2025 NOV · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.<br><br>**Indicative content** |
|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Fewer tariffs and quotas reduce the cost of importing and exporting goods, making international trade more accessible and widespread<br>• Lower trade barriers encourage countries to specialise in producing goods where they have an advantage, increasing global trade efficiency<br>• The reduction in tariffs and quotas encourage competition among businesses, leading to innovation and the spread of new technologies across different countries<br>• Consumers benefit from a wider variety of goods and services at lower prices, enhancing global interconnectedness<br>• Easier access to international markets allows businesses to expand globally, creating stronger economic ties between countries |

Type MS · Globalisation: what it means and what drives it

Answer 10 of 10 · Question 3 part d · 6 marks

2025 NOV · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Globalisation: what it means and what drives it

Answer 10 of 10 · Question 3 part d · 6 marks

2025 NOV · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• MNCs such Levi Strauss & Co can create employment opportunities, improving the standard of living for workers in countries where they operate<br>• Worker well-being programmes can enhance the health, education and financial stability of employees, leading to a more productive workforce<br>• MNCs often bring advanced technology and management practices to host countries, contributing to economic development and skill enhancement<br>• Many MNCs invest in infrastructure such as roads in the countries in which they operate in order to get goods to market<br>• The presence of MNCs can increase tax revenues for the host country's governments, which can be used for public services and infrastructure development<br>• MNCs may engage in sustainable practices, such as water conservation and reducing greenhouse gas emissions, benefiting the local environment<br><br>**AO4**<br><br>• However, MNCs might prioritise profits over the welfare of local workers, potentially leading to poor working conditions despite well-being programmes<br>• Local businesses may struggle to compete with large MNCs, which can limit the growth of domestic industries<br>• MNCs could exploit natural resources or contribute to environmental degradation, despite some efforts at sustainability<br>• The economic benefits of MNCs might be unevenly distributed, with most profits flowing back to the MNC's home country rather than staying in the host country<br>• MNCs might influence local governments and policies in ways that favour their interests over those of the local population<br>• Some MNCs might move profits abroad rather than invest in the countries in which they operate |

Type MS · Globalisation: what it means and what drives it

Answer 10 of 10 · Question 3 part d · 6 marks

2025 NOV · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Globalisation: what it means and what drives it

Answer 10 of 10 · Question 3 part d · 6 marks

2025 NOV · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

| Question Number | Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|